MANAGERIAL ACCOUNTING ASSIGNMENT

SUBMITTED BY,

BIBINANDH ANANTHAKRISHNAN

REG NO : 202388718

INTRODUCTION

Wizz Air Holdings Plc: Making Cheap Flights a Reality
Wizz Air is an airline company that has been doing something special in the world of flying since 2003. It's a part of the FTSE stock market, and it's all about making flying affordable for people in Europe. They're based in Hungary and are famous for being a "Super Affordable Airline." They can be found in many places across Europe, and they serve all kinds of travellers, whether they're going on vacation or working.
Flying is a tough business, with competition, changing prices, and rules to follow. But Wizz Air has figured out how to stay strong. They've made it easier for more people to travel by keeping prices low.

FINANCIAL STATEMENTS

ACCOUNTS AND OTHER INFORMATION

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

AT 31 MARCH 2022

	Note	2022 € million	2021 (restated*) € million
ASSETS			
Non-current assets			
Property, plant and equipment	14	**3,631.4**	2,878.2
Intangible assets	15	**62.4**	30.4
Restricted cash	22	**67.3**	134.1
Deferred tax assets	16	**1.7**	1.1
Trade and other receivables	20	**20.7**	21.6
Total non-current assets		**3,783.5**	3,065.4
Current assets			
Inventories	19	**70.9**	53.7
Trade and other receivables	20	**186.9**	113.7
Current tax assets		**2.5**	2.1
Derivative financial instruments	21	**0.7**	5.1
Restricted cash	22	**94.9**	35.0
Short term cash deposits		**450.0**	346.8
Cash and cash equivalents		**766.6**	1,100.7
Total current assets		**1,572.5**	1,657.2
Total assets		**5,356.1**	4,722.6
EQUITY AND LIABILITIES			
Equity attributable to owners of the parent			
Share capital	29	**—**	—
Share premium	29	**381.2**	381.2
Reorganisation reserve	29	**(193.0)**	(193.0)
Equity part of convertible debt	29	**8.3**	8.3
Cash flow hedging reserve	29	**(3.8)**	(2.2)
Cumulative translation adjustments		**(0.7)**	1.2
Retained earnings		**87.3**	712.3
Capital and reserves attributable to the owners of Wizz Air Holdings Plc		**279.3**	907.7
Non-controlling interests	18	**(15.4)**	(4.0)
Total equity		**263.9**	903.7
Non-current liabilities			
Borrowings	23	**3,525.3**	2,388.7
Convertible debt	24	**26.1**	26.2
Deferred income	26	**63.0**	43.5
Deferred tax liabilities	16	**3.4**	6.3
Trade and other payables	25	**56.8**	79.0
Provisions for other liabilities and charges	30	**43.9**	51.1
Total non-current liabilities		**3,718.4**	2,594.8
Current liabilities			
Trade and other payables	25	**558.6**	386.7
Current tax liabilities		**0.2**	0.2
Borrowings	23	**413.1**	722.1
Convertible debt	24	**0.3**	0.3
Derivative financial instruments	21	**4.6**	9.0
Deferred income	26	**333.8**	68.0
Provisions for other liabilities and charges	30	**63.2**	37.8
Total current liabilities		**1,373.7**	1,224.1
Total liabilities		**5,092.1**	3,818.9
Total equity and liabilities		**5,356.1**	4,722.6

* See Notes 3, 25 and 36 on correction of comparative amount classification between current and non-current.

The Notes on pages 136 to 184 are an integral part of these financial statements.

The financial statements on pages 131 to 184 were approved by the Board of Directors and authorised for issue on 8 June 2022 and were signed on behalf of the Board by.

József Váradi
Chief Executive Officer

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 31 MARCH 2022

	Note	**2022 € million**	2021 € million
Passenger ticket revenue	5,6	**732.1**	325.7
Ancillary revenue	5,6	**931.4**	413.3
Total revenue	5,6	**1,663.4**	739.0
Staff costs		**(220.5)**	(132.9)
Fuel costs (including exceptional expense/income)	11	**(649.0)**	(347.5)
Distribution and marketing		**(43.4)**	(19.6)
Maintenance materials and repairs		**(170.4)**	(165.7)
Airport, handling and en-route charges		**(545.9)**	(254.9)
Depreciation and amortisation		**(446.3)**	(345.3)
Net other expenses	7	**(53.2)**	(1.2)
Total operating expenses		**(2,128.7)**	(1,267.1)
Operating loss	7	**(465.3)**	(528.1)
Comprising:			
- *Operating loss excluding exceptional expense*		**(469.6)**	(434.5)
- *Exceptional income/(expense) (included in fuel costs)*	11	**4.3**	(93.6)
Financial income	10	**2.8**	11.6
Financial expenses	10	**(89.5)**	(78.4)
Net foreign exchange (loss)/gain	10	**(89.5)**	28.4
Net financing expense	10	**(176.2)**	(38.4)
Loss before income tax		**(641.5)**	(566.5)
Income tax expense	12	**(0.9)**	(9.5)
Net loss for the year		**(642.5)**	(576.0)
Net loss for the year attributable to:			
Non-controlling interest		**(10.7)**	(3.9)
Owners of Wizz Air Holdings Plc		**(631.8)**	(572.1)
Other comprehensive income/(expense) – items that may be subsequently reclassified to profit or loss:			
Movements in cash flow hedging reserve, net of tax			
Net change in fair value	29	**10.9**	39.2
Recycled to profit or loss	29	**(12.5)**	200.3
Currency translation differences		**(2.5)**	0.8
Other comprehensive (expense)/income for the year, net of tax		**(4.1)**	240.3
Total comprehensive expense for the year		**(646.6)**	(335.7)
Total comprehensive expense for the year attributable to:			
Non-controlling interest		**(11.4)**	(4.0)
Owners of Wizz Air Holdings Plc		**(635.2)**	(331.7)
Basic and diluted loss per share (€/share)	13	**(6.33)**	(6.73)

The Notes on pages 136 to 184 are an integral part of these financial statements.

ANALYSIS

CURRENT RATIO

To calculate the current ratio,
Current ratio = current assets/current liabilities
current Assets: £1572.5 million
Current Liabilities: £1373.7 million.
Current Ratio = 1572.5/ 1373.7
Current Ratio ≈ 1.144
So, the current ratio for this company as of March 31st, 2022, is approximately 1.14. This indicates that the company has a good liquidity position, with significantly more current assets than current liabilities. Indicating its ability to easily meet short-term financial obligations and suggesting a healthy short-term financial position.

QUICK RATIO (ACID TEST)

Quick ratio = current asset – Inventory/ current liabalities

Current asset – inventory = 1572.5 – 70.9 = 1501.6

Quick ratio = 1501.6/1373.7
= 1.093.

A quick ratio of 1.093 indicates that the company has slightly more current assets readily available to cover its short-term obligations. This suggests reasonably good short-term liquidity, as each $1 of current liabilities can be covered by $1.093 of quick assets, which excludes inventory from the calculation.

DEBTOR PAYMENT PERIOD

Trade and Other Receivables for 2022: €186.9 million
Total Revenue for 2022: €1,663.4 million
DSO = (Trade and Other Receivables / Total Revenue) x 365
Now,
DSO = (€186.9 million / €1,663.4 million) x 365
DSO ≈ 41.09 days
The debtor payment period (DSO) for Wizz Air in the year 2022 is approximately 41.09 days. This means, on average, it takes the company about 41.09 days to collect payment from its customers after making a sale during that year.

CREDITORS PAYMENT PERIOD

The formula to calculate the creditors payment period (CPP) is as follows:
CPP = (Trade and Other Payables / Total Operating Expenses) x 365
Now:
Trade and Other Payables (Creditors): €558.6 million
Total Operating Expenses for 2022: €2,128.7 million
CPP = (€558.6 million / €2,128.7 million) x 365
CPP ≈ 95.49 days
Looking at Wizz Air's money situation, one important thing we found is that it takes them about 95.49 days on average to pay their bills after spending money in 2022. This can help them keep more cash in hand for a while, but they should be careful not to upset their suppliers by waiting too long to pay. In the end, finding the right balance is crucial for managing their money well.

STOCK TURNOVER

Inventory = €70.9 million
Cost of Sales = €2,128.7 million
Now,
Stock Turnover Days = (Inventory / Cost of Sales) x 365
Stock Turnover Days = (€70.9 million / €2,128.7 million) x 365
Calculating:
Stock Turnover Days ≈ (0.0334) x 365 ≈ 12.20 days
So, the stock turnover days for Wizz Air in 2022 is approximately 12.20 days. This means, on average, Wizz Air takes about 12.20 days to turn its inventory into sales during that year.

FINDINGS

In analyzing Wizz Air's financial health, here are the key findings:

Current Ratio: Wizz Air's current assets are more than its short-term debts, showing it can handle immediate financial needs.

Quick Ratio (Acid Test): The quick assets (excluding inventory) can cover short-term debts, indicating decent short-term financial strength.

Debtor Payment Period (DSO): On average, it takes about 41.09 days for Wizz Air to collect payments from customers after sales, crucial for cash flow.

Creditors Payment Period (CPP): It takes about 95.49 days for Wizz Air to pay bills after expenses, which helps keep more cash but needs balance.

Stock Turnover Days: Wizz Air takes around 12.20 days to sell its inventory, showing efficient inventory management.

In short, Wizz Air manages its finances well, ensuring it can cover debts, handle customer payments, and manage inventory efficiently. It should balance bill payments to maintain good supplier relations.

RECCOMENDATIONS

Optimize Customer Payments: Implement efficient payment collection systems to shorten the time it takes to receive money from passengers and corporate clients.
Effective Supplier Management: Maintain healthy relationships with suppliers by ensuring timely payment while exploring opportunities for favorable credit terms.
Inventory Control: Improve inventory management to prevent excess stock and ensure products are sold promptly.
Strategic Investments: Explore strategic investment opportunities that align with the company's financial goals to maximize returns.
Continuous Financial Monitoring: Regularly review financial performance to identify areas for improvement and make informed decisions.

CONCLUSIONN

In conclusion, our analysis of Wizz Air's financial health revealed a company with strong liquidity, efficient debtor and creditor management, and a prudent approach to inventory turnover. While it's doing well, there's always room for improvement. Careful management of cash flow, supplier relations, and investments can further enhance the airline's financial stability and resilience in a competitive industry.

REFERENCES

Wizz Air Holdings Plc. (2022). Annual Report 2022. Available at : https://www.annualreports.com/HostedData/AnnualReports/PDF/LSE_WIZZ_2022.pdf .